

pointed out that it would please a number of countries, especially China, Pakistan and Iran which had vociferously opposed the deal.

The US made it clear that it would not renegotiate either the Hyde Act that amended its domestic legislation to permit trade in civilian nuclear power with India or the 123 bilateral agreement which lays down the parameters for its implementation. India can't just walk away from the agreement. After all, the negotiations spanned two years and two days, involved nine rounds and sucked up vast amounts of political capital for leaders in both the countries. US President George Bush had to overcome as much political opposition to the deal as Manmohan had to face at home. "Bush bent over backwards to accommodate India's interests, so Washington is truly perplexed as to what is going on now in New Delhi," says Michael Krepon, founder president

of the Henry Stimson Centre, a US think tank that opposes the deal because it jeopardises the global nuclear order.

Krepon believes if India turned its back on the deal, there would be a huge question mark on the Government's ability to enter into agreements of any kind with other countries. If the Indian Cabinet's decision were not sacrosanct, then other nations will wonder whether it is worth negotiating with the Government at all. "They will ask you to check with Parliament first and also the Left's politburo before signing anything with them," as an Indian official put it. Any ambition of becoming a permanent member of the Security Council would have to be shelved. There were serious economic consequences too as the nuclear deal with the US was not just about augmenting energy supplies. It held the promise of dismantling the debilitating technology denial regime that the US had constructed after India's first nuclear test in 1974. As Manmohan said in Parliament, "High technology trade with the US and other technologically-advanced countries will expand rapidly."

Representative organisations of Indian industry were as concerned about the repercussions if the agreement fell through. Sunil Mittal, Bharti Enterprises chairman and president of the Confederation of Indian Industry, says, "From the economic perspective, it is an absolutely must-do deal.

We have a winning hand and we shouldn't walk away from the head table because of the fear of the unknown. There is \$150 billion (Rs 6,00,000 crore) worth of investment expected because of the deal. But if we don't do it, there will certainly be a step down in India's engagement with industrialised nations."

If the Left was only asking for a pause and not a full stop to the deal, the Government was willing to be more accommodating. There were still plenty of steps remaining before the deal could be operationalised. India now has to negotiate a specific safeguards agreement with the International Atomic Energy Agency (IAEA) for the reactors it designates as civilian. Then prodded by the US, the 45-member Nuclear Suppliers Group (NSG) should, by unanimous consent, allow India to trade in civilian nuclear stuff without any retrograde conditions. Finally, the US Congress would have to ratify the 123 Agreement with what is known as an up-down vote.

Right now the timetable for operationalising the deal is linked to the end of the Bush presidency in December 2008. Mansingh points out that the deal proceeded rapidly because of a combination of favourable circumstances for it. Bush was keen that the US had a strategic relationship with India as a counterweight to China. Secretary of State Condoleezza Rice and National Security Adviser Stephen Hadley pushed hard to overcome resistance. "A new president would have a new team and he or she would naturally call for a review of the provisions as would the Congress. And there are still so many Ayatollahs of non-proliferation that you may end up

If Manmohan steps back from the deal, the loss of face for him and India would be massive internationally.



With major steps still left for the nuclear deal to become operational, a prolonged hold in negotiations will be disastrous.

NSG SUPPORT: The 45-member Nuclear Suppliers Group will have to meet and approve of permitting trade on nuclear technology with India without any uncomfortable clauses. It's going to be an uphill task but the US has promised to play "sherpa".

3 US CONGRESS VOTE: The US Congress has to vote in favour of the 123 Agreement before President Bush's term ends in December 2008, else the deal may be in jeopardy.

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